

EisaX Intelligence Report: ADNOC GAS.AE

● **Live Price:** 3.31 (%2.16+) إ.د | **Sector:** Energy | **EisaX Score:** 61/100 | 🇦🇪 **ADX/DFM · AED** | 🇸🇦 **Brent: \$107.00**

MEMORANDUM

To: Investment Committee
From: EisaX, Chief Investment Officer
Date: March 31, 2026
Re: Analysis of ADNOC GAS.AE

1. Executive Summary

ADNOC Gas presents a mixed profile, with a reasonable valuation and high dividend yield offset by fundamental data gaps and significant exposure to volatile oil prices. The current HOLD verdict reflects a balanced view, acknowledging the stock's defensive characteristics and income appeal while recognizing the substantial commodity-driven risks and lack of clear near-term catalysts.

2. Fundamental Analysis

Growth metrics are bifurcated: while TTM EPS grew 21.0% YoY, revenue contracted by -2.9% YoY to 18.5إ.دB. Profitability, as indicated by a net margin of 19.4%, appears solid, though key metrics like ROE, ROIC, and operating margin are unavailable, limiting a full quality assessment. Valuation is reasonable with a TTM P/E of 13.2x and a forward P/E of 13.7x, supported by a dividend yield of 5.28%.

3. Technical Outlook

The trend is **Bullish** with price at 3.31إ.د trading +15.5% above the SMA200 (2.87إ.د) and +0.5% above the SMA50 (3.29إ.د). Momentum is **Bearish** per a MACD bearish crossover. The RSI is at 52.0 (Neutral), and the ADX of 8.8 indicates a weak or absent trend. Volume data is unavailable for conviction assessment. The nearest key Fibonacci resistance is at 3.37إ.د (52-week high), with support at 3.20إ.د (recent swing low).

4. Key Risks

- Oil Price Volatility (Severity: High):** As an integrated gas player, ADNOC Gas's revenue and valuation are directly tied to hydrocarbon prices. Brent crude at \$107/bbl is elevated and susceptible to sharp corrections driven by OPEC+ policy shifts or global demand shocks.
- Geopolitical Risk Escalation (Middle East) (Severity: High):** Regional tensions pose a dual risk of supply disruption (bullish for price) or conflict-driven demand destruction and market instability.
- Energy Transition & Long-Term Demand (Severity: Medium):** Structural shifts towards renewables and decarbonization threaten the long-term demand profile for natural gas, potentially leading to asset stranding and multiple compression.

5. Analyst Consensus & Catalysts

No sell-side analyst coverage is available. The EisaX Fair Value Estimate, based on a 13x sector P/E applied to forward earnings, is 3.93﷼, implying 18.8% upside. The next earnings date is not scheduled, removing a near-term catalyst for price movement.

6. ✂️ Peer Comparison

vs **2222.SR (Saudi Aramco)**: ADNOC GAS.AE trades at a 13.7x forward P/E versus Aramco's 18.3x, representing a ~25% discount. ADNOC Gas lags significantly in scale, revenue diversification, and integrated global operations compared to the industry behemoth.

7. EisaX Outlook

The stock offers a moderate implied return of 18.8% to our fair value estimate, coupled with a 5.28% dividend yield, providing a total return potential in the mid-20% range. The primary risk/reward equation is asymmetrically tied to the direction of oil prices, with the current elevated Brent level of \$107/bbl skewing risk to the downside.

8. 🕒 Why Now?

- **Market Sentiment:** The Fear & Greed Index at 11.0 (Extreme Fear) historically signals a contrarian opportunity, but for commodity stocks, this may also reflect justified concerns over a potential macro slowdown.
- **Upcoming Catalyst:** No specific earnings date or corporate catalyst is imminent, leaving oil price action as the dominant short-term driver.
- **Risk/Timing:** Technical momentum is bearish (MACD crossover) and the price is near its 52-week high, suggesting a pullback towards the 3.10﷼-3.00﷼ support zone is probable before any sustained upward move.
- **Oil Price:** Brent at \$107.0/bbl provides a strong near-term revenue tailwind but also elevates the risk of a mean-reverting correction, which would pressure the stock.

9. 🌐 Advanced Scenario Analysis

Scenario	Impact	Expected Price	Suggested Hedge
🚀 Oil Spike \$150+/bbl	+22.1%	4.04﷼	Hold / partial profit
📉 Oil Crash to \$50/bbl	-29.3%	2.34﷼	Gold + Tech
📉 OPEC+ Production Surge	-9.9%	2.98﷼	Diversified equities
📉 Energy Transition (long-term)	-12.4%	2.90﷼	Clean energy + Tech
📉 Fed Rate Shock +2%	-6.0%	3.11﷼	Treasuries + Cash

10. 🛢️ Oil Price Sensitivity

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$107/bbl (current)	—	Base	3.31﷼
\$90/bbl	-16%	-11%	3.02﷼

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$80/bbl	-25%	-18%	2.85↓.د
\$70/bbl	-35%	-24%	2.68↓.د
\$60/bbl	-44%	-31%	2.51↓.د
\$50/bbl	-53%	-37%	2.34↓.د

The sensitivity analysis underscores high operational leverage to oil. A decline to ~\$70/bbl could erase most of the stock’s premium to its 200-day moving average. The current OPEC+ discipline supports prices, but any coordinated production surge would be a primary downside risk.

 **FACT-CHECK** (Verified Mar 31, 2026)

Metric	Report	Live	Status
Price	3.31 ↓.د	3.31 ↓.د	✓
Local Price (AED)	—	3.31 ↓.د	+
Beta	—	0.19	+
P/E (TTM)	—	13.2x	+
Forward P/E	—	13.7x	+
Market Cap	—	249.33B AED	+
52W Range	—	1.721 - 3.417	+
Fear & Greed	—	🔴 11 — Extreme Fear	+
🇦🇪 17 Next Earnings: N/A			

Source: Yahoo Finance + StockAnalysis + CNN Fear&Greed — live at time of query

 **Latest News** (EisaX live news engine)

 ADNOCGAS — Company News

- Adnoc's XRG and OMV complete deal to create chemicals giant Borouge International *(The National)*
- ADNOC, OMV advance formation of Borouge Group International AG - *zawya.com (Zawya)*
- ADNOC, OMV name leadership team for global Borouge chemicals giant *(Gulf News)*
- ADNOC and OMV announce executive leadership for Borouge Group International AG - *ZAWYA (Zawya)*
- ADNOC and OMV appoint new leadership for Borouge Group International - *ZAWYA (Zawya)*

 UAE — Market News

- UAE President receives Emir of Qatar on fraternal visit and discusses regional developments (*Gulf News*)

 Market Context (*EisaX Cache Data*)

- **Momentum:** RSI **36.0** — 7.9 pts below sector avg (43.9)
- **Today:** Today **-1.54%** — 1.28% below market avg (-0.26%)
- **Sector Standing:** ADNOCGAS is outperforming **50%** of its Energy sector peers today

This Stock		Sector Avg (Energy)	Market Avg
RSI	36.0 🟡 Neutral	43.9	42.8
Change Today	-1.54% ▼	-1.42%	-0.26%

 Regional Peer Comparison — Energy Sector Across Gulf Markets

#	Stock	Market	Price	Change	P/E	RSI	Div Yield	Mkt Cap
1	2222 TADAWUL: 2222	 KSA	27.40	+0.44% ▲	18.3x	63.2	5.03%	6599.0B
2	1211 TADAWUL: 1211	 KSA	64.80	+0.62% ▲	33.9x	35.6	—	250.4B
3	ADNOCGAS ADX: ADNOCGAS	 UAE	3.20	-1.54% ▼	12.9x	36.0	0.00%	249.4B
4	IQCD QSE: IQCD	 Qatar	10.64	+0.38% ▲	15.0x	31.8	6.54%	64.1B
5	2380 TADAWUL: 2380	 KSA	10.53	+0.00% ▲	—	77.8	—	28.7B
6	2223 TADAWUL: 2223	 KSA	106.80	+0.75% ▲	21.0x	73.3	4.42%	17.9B
7	DIC DFM: DIC	 UAE	3.78	-0.26% ▼	10.4x	50.1	6.53%	16.1B
8	QFLS QSE: QFLS	 Qatar	14.48	+0.07% ▲	13.8x	42.7	6.16%	14.4B
9	APEX ADX: APEX	 UAE	3.37	-4.53% ▼	315.0x	45.7	—	12.5B
10	QAMC QSE: QAMC	 Qatar	1.40	+1.82% ▲	10.2x	39.4	7.27%	7.7B

#	Stock	Market	Price	Change	P/E	RSI	Div Yield	Mkt Cap
11	1322 TADAWUL : 1322	 KSA	86.90	+0.40% ▲	27.4x	41.3	2.77%	7.7B
12	EMSTEEL ADX : EMSTEEL	 UAE	1.01	-0.98% ▼	13.2x	37.6	—	7.0B

Cross-Market Intelligence

Sector Rotation:  **Energy** sector RSI (40.5) is in line with the market (42.8) — no strong rotation signal

Market Breadth (UAE):  48 advancing / 89 declining (27% of stocks up today)

Oil Correlation: Crude Oil (WTI) at **\$102.67** (-0.32% ▼) — Energy stocks typically move with oil; monitor Brent for directional cues.

 Cache data is **8 min** old — refreshed every 15 min by EisaX Pipeline

Positioning Guide

	Level	Rationale
 Entry	2.92 ﷮	Near SMA200 support
 Target	3.93 (%18.8+) ﷮	 EisaX FV Estimate (no analyst coverage)
 Stop	2.72 ﷮	Below SMA200 (-5%)

 **Awaiting Pullback** — Current price (3.31 ﷮) is **11.7% above** the entry level. Do **not** chase the current price. Wait for a pullback to the entry zone before initiating a position.

Suggested Position Size

	Guidance
Core Allocation	3–5% of portfolio
Add on Pullback	2.92 ﷮
Max Exposure	7%

Sizing based on EisaX Score (55/100) · Conviction: Low

- ⚠️ High oil-price dependency — cap total Energy sector exposure at 15% of portfolio

 EisaX Proprietary Score Card

ADNOCGAS.AE | **HOLD**  | Conviction: **Low** | EisaX Score: **61/100**

Conviction driven by: moderate upside (+19%), bullish technical momentum, low risk profile, no analyst coverage — EisaX FV estimate only

Metric	Value
Live Price	3.31 
Price Target	3.93 (%18.8+)  [EisaX FV Est.]
Beta	0.19
Forward P/E	13.7x  Reasonable

Factor Analysis:

Factor	Score	Bar
Quality Score	40%	 
Valuation	70%	 
Price Upside	60%	 
Risk Profile	80%	 
Market Position	70%	 
Technical Momentum	90%	 
Analyst Sentiment	0%	 

 Score Breakdown:

Pillar	Factors	Max	Earned	Score
 Fundamentals	Quality • Valuation • Market Position	55	31	 
 Technical & Risk	Upside Potential • Risk Profile • Momentum	40	30	 
 Analyst Sentiment	No analyst coverage	5	0	  (N/A)
TOTAL	(all pillars)	100	61	61/100

Overall: **61/100**

Price Chart (60 days)

